

7-1 What Determines Foreign Exchange Rates?

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Learning Objective 7-1

Understand the determinants of foreign exchange rates.

foreign exchange rate (The price of one currency in terms of another.) is the price of one currency, such as the dollar, in terms of another, such as the euro. Table 7.1 provides some examples. An **appreciation** (An increase in the value of the currency.) is an increase in the value of the currency, and a **depreciation** (A loss in the value of the currency.) is a loss in the value of the currency. This section addresses a key question: What determines foreign exchange rates?

Table 7.1
Examples of Key Currency Exchange Rates

Source: Adapted from *Wall Street Journal*, 2014, Key currency cross rates, September 19 (online.wsj.com). Reading *vertically*, the first column means
US\$1 = C\$1.10 = ¥109.05 = Mex\$13.21 = SFr 0.94 = £0.61 = €0.78. Reading *horizontally*, the last row means **€1 = US\$1.28; £1 = US\$1.63; SFr1 = US\$1.06; Mex\$1 = US\$0.08; ¥1 = US\$0.009; C\$1 = US\$0.91**. The official code for Mexican Peso is MXN. The official code for Swiss Franc is CHF.